

The AI Readiness Gap

Most SMEs Don't See Coming

How usage analytics is obscuring an emerging capability and governance/regulatory disparity between small and mid-size businesses and the big boys – and what leaders should do before it's too late.

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1. Executive Summary

So, the narrative of small and medium enterprises (SMEs) and artificial intelligence (AI) would be considered great news for each of the major economies. Adoption is accelerating rapidly; on the broadest definition of the term, it's in the 60-70% range; and small business users say they're saving hours and money. That's the truth and it's a very incomplete truth. In addition to the adoption narrative, there's a second, understated one—one that often goes overlooked: the growing gap between SMEs that are successfully using AI and those that have merely enabled a chatbot. Structural gaps between smaller businesses and larger businesses are not narrowing, as official statistics from OECD, Eurostat, and the U.S. Small Business Administration reveal: In some markets,

gaps are growing, as large businesses are scaling up their early experiments into structured deployment while small businesses fall behind.

76%

of SME AI adopters are classified as “AI novices” using basic, isolated tools rather than integrated capability – OECD D4SME Survey, 2026

The actual danger for SMEs is not being left behind with the adoption of AI, for the majority of them have adopted some form of AI. What is the true danger is that the usage surveys are inadequate in one respect, they do not measure a compounding “readiness gap” in four dimensions: workforce skills, data and infrastructure maturity, governance and cybersecurity, regulatory exposure. There are dimensions which can be managed independently. Combined, they form a business that is technically “using AI”, but structurally not equipped for what it takes to successfully adopt AI – and vulnerable to a rapidly ratcheting up regulatory regime, that business owners haven’t yet read. The OECD, Eurostat, U.S. Census Bureau’s Business Trends and Outlook Survey, McKinsey, IBM, Goldman Sachs, and primary regulatory documents such as the EU AI Act and the U.S. NIST AI Risk Management Framework were all consulted for this paper’s research, which aims to chart this gap and outline a pragmatic closing sequence for SME leadership teams.

2. Introduction – Redefining the Gap

In most of the past two technology wave eras – enterprise software in the 1990s and cloud computing in the 2010s – small businesses have been about a decade behind large enterprises. That lag has been shortened drastically with Generative AI. In fact, some U.S. information indicates that small businesses are now just a year behind large businesses in actual terms of technology adoption – a very different outcome than the previous technology wave (e.g., broadband) that saw small businesses lagging by decades. The result of this compression is a cozy narrative: The gap between SMEs and AI is narrowing itself. It is not. The awareness gap has been bridged, as small business owners know what generative AI is, have experimented with it, and often have used this technology informally in marketing, admin and/or customer service. The readiness gap – the gap between using a tool and operating a business using a governed, secure and compliant AI capability – has remained, and in some ways is becoming, wider.

Nearly nine in ten companies are using AI. Fewer than four in ten see it on their bottom line. This is not a technology problem – it is a deployment problem.

– Synthesis of McKinsey’s State of AI in 2025 global survey findings

This is important as it will impact the definition of “AI readiness” for an SME board or owner. Not everyone is ready for ChatGPT – it’s not about a percentage of staff members who have opened it. It is its proven ability to choose, manage, acquire, and scale AI usage that ensures defensible business value with no legal, security or reputational risk. The gap is very hard to see from the inside as very few SMEs have benchmarked themselves against that definition.

3. The Adoption Paradox: Why Usage Statistics Mislead

When somebody asks a handful of research firms what percentage of small businesses “use AI” you will get a variety of responses, from about 17% to more than 70%. It does not constitute noise – it’s the true difference in definitions – and the leaders of SMEs who focus on the rosier number are the ones who are most likely to underestimate their exposure.

Measurement	Approx. rate	What it actually captures
Any AI use, including embedded features	~68–70%	Copilot in Office, AI features inside CRM/accounting tools, occasional chatbot use
Active, regular business use	~50–61%	Recurring use of generative AI for a real task, self-reported
Deliberate, strategic deployment with defined business purpose	~16–17%	UK DSIT interviews; OECD ‘AI champions’ category (3.6% of adopters)
Mature, enterprise-scaled deployment with measured EBIT impact	~1–6%	McKinsey ‘AI high performers’; sub-\$100M revenue firms lag large firms roughly 2:1 on scaling

The table lists a downward trend in readiness at each level of maturity (top to bottom). According to the 2026 D4SME survey conducted by the OECD, 76% of all respondents using AI-enabled application are what the OECD has dubbed “AI novices”, who use basic tools and applications to solve simple problems in isolated tasks, while a mere 3.6% are “AI champions”, using AI throughout the business. The readiness gap, between “has tried AI” and “has operationalized AI” is much bigger than one might think based on individual adoption rates. This is also the situation in Europe. The recent tracking shows that the gap between large enterprise (250+ employees) and small enterprise (10–49 employees) use of AI is actually growing, with AI value capture increasing by 38 percentage points, driven mainly by large firms that have technical expertise on the subject. While the use of AI tools by large firms has remained at around 10–11% in the United States, small business usage has increased from 6.3% to 8.8% from February 2024 to August 2025, which is a real narrowing in the overall rate of tool usage, but not a detailed one about how deeply or governable firms are using these tools – or what return they are realizing.

4. Anatomy of the Readiness Gap

There is not one problem in the readiness gap. It is four compounding deficits which manifest in various research streams and are typically handled by various functions within a larger enterprise, which most SMEs do not have.

4.1 The Skills and Talent Deficit

In all of the major surveys, not having internal skills is the top barrier to SME AI adoption, compounded by not only cost, but data privacy concerns and regulation. The OECD’s cross-country D4SME research uncovers the skills gap as the top barrier, with the smallest companies, with no technical function in-house at all, having an

even stronger impact. A lack of skills is the reason for more than half of the SMEs which have not yet used generative AI.

73%

of SMB AI users say more training and resources would help them implement AI successfully – Goldman Sachs SMB survey, January–February 2026

The skills deficit compounds rather than resolves itself over time, because roughly half of U.S. small firms using AI report no investment whatsoever in implementation – no training, no change management, no dedicated time – according to SBA Office of Advocacy analysis. AI use without structured onboarding tends to stay shallow: it becomes a personal productivity habit for a handful of employees rather than an organizational capability, which is consistent with the OECD’s finding that the large majority of SME AI users remain “novices” indefinitely rather than progressing toward more advanced use.

There is a genuine silver lining in the data: among SMEs that have experienced a labor or skills shortage and use generative AI, the OECD found that 39% say the technology helped compensate for that gap, acting as a kind of force multiplier for understaffed teams. The opportunity is real. The problem is that very few SMEs are capturing it deliberately – most are capturing it by accident, one employee at a time, with no plan to generalize the benefit across the organization.

4.2 The Data and Infrastructure Deficit

McKinsey’s global State of AI research frames the scaling barrier for organizations of every size the same way: scaling AI requires clean, integrated, governed data, not the siloed spreadsheets and legacy systems most organizations – and nearly all SMEs – actually run on. Bolting AI tools onto unreformed processes and fragmented data produces marginal, hard-to-measure gains rather than the productivity step-change AI is capable of.

For SMEs specifically, this shows up as tool fragmentation: a chatbot subscription here, an AI feature inside the accounting package there, a CRM add-on somewhere else, with nothing connecting them and no single view of what data has gone where. Industry researchers covering the UK SME market describe the resulting state as “surface-level AI” – a portfolio of subscriptions and feature checkboxes rather than an end-to-end workflow. The consequence is that even SMEs with respectable AI spend often cannot demonstrate a return, because the underlying data infrastructure was never designed to support a connected, measurable AI workflow in the first place.

4.3 The Governance and Cybersecurity Deficit

This is the dimension SME leaders most consistently underestimate, and the one with the sharpest financial consequences. The OECD’s 2026 SME survey found that 46% of SMEs report having no or only minimal digital security measures in place, even as their reliance on digital and AI tools increases – and 22% report having already experienced a digital security breach.

Generative AI has changed the shape of this risk. Employees now routinely use AI tools the organization has never approved or even inventoried – a pattern the industry calls “shadow AI.” Cyberhaven and IBM research

indicate that roughly a quarter to a third of employees have entered confidential company data into public AI tools, and that breaches involving unmanaged shadow AI cost organizations, on average, hundreds of thousands of dollars more than the typical breach.

\$670,000

average additional cost of a data breach when shadow AI is involved, on top of an average breach cost already exceeding \$4.6 million – IBM Cost of a Data Breach Report, 2025

Sensitive intellectual property is increasingly being compromised through unapproved AI tools that employees deploy without oversight – a risk that will produce major security incidents as it scales.

– Paraphrased from commentary by a senior IBM cybersecurity leader, IBM 2026 cybersecurity predictions

The governance gap is structural, not incidental. Industry surveys consistently find that while a large majority of small and mid-sized businesses believe AI has increased the cybersecurity threat level they face, only roughly half have implemented any AI-specific security policy, and fewer still have technical controls – as opposed to a training email or a written policy – that actually prevent an employee from pasting confidential data into a public AI tool. For an SME, this is rarely a technology gap; it is an ownership gap. Nobody has been assigned to own AI governance, so nobody enforces it.

4.4 The Regulatory Deficit

The fourth deficit is the one most SME leaders have not yet encountered directly, and the one most likely to surprise them: a fast-moving global regulatory regime that already applies to many SMEs today, whether or not they have built or trained a single model themselves. This deficit is significant enough to warrant its own section.

5. The Regulatory Storm: Government Issues SMEs Are Not Tracking

Ask an SME owner whether AI regulation applies to their business, and the near-universal answer is “not yet” or “not us – we just use ChatGPT and a CRM plug-in.” That answer is frequently wrong, and the gap between what regulation actually requires and what SME owners believe it requires is itself part of the readiness gap.

5.1 The EU AI Act

The EU AI Act is the world’s first comprehensive horizontal AI law, and it does not exempt companies simply because they buy AI tools rather than build them. Two obligations are already in force. Since February 2025, prohibited “unacceptable-risk” AI practices have been banned outright, alongside an AI literacy obligation under Article 4 requiring any organization that deploys AI to ensure its staff have a sufficient level of AI literacy – an obligation widely overlooked by smaller firms that have never run structured AI training. Since August 2025, obligations for providers of general-purpose AI models and the EU’s AI governance infrastructure have applied.

A further deadline lands on 2 August 2026: transparency obligations under Article 50 and the full enforcement and penalty regime take effect. Penalties are structured in three tiers, rising to €35 million or 7% of global

annual turnover for prohibited practices and €15 million or 3% for most other violations – figures that exceed GDPR’s maximum exposure. The Act does include an SME-specific protection: smaller organizations pay the lower of the fixed cap or the percentage of turnover, rather than the higher figure applied to large companies, a structural relief modeled on precedents set under GDPR.

A political agreement reached in May 2026 on the Commission’s “Digital Omnibus” proposal will delay the heaviest Annex III high-risk obligations (covering uses such as recruitment screening, credit scoring, and biometric systems) to late 2027, and aims to cut administrative burden by at least 25% overall and 35% specifically for SMEs. The Commission has also committed to simplified technical documentation templates, proportional conformity-assessment fees, and dedicated SME guidance channels. The relief is real, but it is relief from a law that still applies – not an exemption from it. Any SME using AI for hiring decisions, credit assessment, chatbots, or predictive customer analytics should assume the Act reaches them as a “deployer,” with lighter but real obligations around human oversight, correct use per provider instructions, and incident monitoring.

5.2 The United States: NIST AI RMF and a Widening Patchwork

The U.S. has no single federal AI law comparable to the EU AI Act. Instead, SMEs face a voluntary federal framework layered under a growing patchwork of state rules and sector-specific enforcement. The National Institute of Standards and Technology’s AI Risk Management Framework (AI RMF), directed by the National Artificial Intelligence Initiative Act of 2020, organizes responsible AI governance around four functions – Govern, Map, Measure, and Manage – and was explicitly designed, in NIST’s own account, to provide guidance valuable to small and medium businesses that often lack in-house AI governance expertise.

Its voluntary status is more theoretical than practical. Enforcement bodies including the Federal Trade Commission, the Consumer Financial Protection Bureau, the Food and Drug Administration, the Securities and Exchange Commission, and the Equal Employment Opportunity Commission increasingly reference NIST AI RMF principles in their own guidance, and enterprise buyers and cyber insurers are beginning to treat rough alignment with the framework as a baseline expectation rather than a differentiator. For an SME selling into larger enterprise or public-sector customers, an inability to demonstrate any AI governance framework is becoming a live commercial disqualifier, not just a theoretical compliance risk.

5.3 The United Kingdom and OECD Policy Landscape

The UK has taken a lighter-touch, sector-based approach rather than a single AI law, but government data shows just how far behind strategic adoption of AI trails casual use. The UK Department for Science, Innovation and Technology’s AI Adoption Research, based on roughly 3,500 business interviews, found that only around one in six UK firms have deliberately deployed an AI technology with a defined business purpose, and that roughly 80% have neither adopted nor concretely planned to adopt AI strategically – even as separate research from the British Chambers of Commerce and Atos found active, informal AI use climbing to 54% of firms by March 2026, up from 35% a year earlier.

At the multilateral level, the OECD – under Canada’s 2025 G7 Presidency – elevated SME AI adoption to a formal G7 priority, producing a discussion paper that frames the SME/large-firm adoption gap as a structural policy problem, not merely a market outcome, and proposing a G7 Blueprint for SME AI Adoption. Policy analysts reviewing the EU AI Act’s SME impact have separately called for tiered compliance thresholds by

firm size, direct grant funding of €5,000–€15,000 through instruments such as the Digital Europe Programme, and regional compliance hubs and regulatory sandboxes – recommendations aimed squarely at preventing AI regulation from becoming, in effect, a moat that only large incumbents can afford to cross.

The compliance burden the AI Act places on smaller firms risks innovation and competition, because smaller firms lack the resources and expertise of larger enterprises. Targeted relief – tiered frameworks, direct funding, and shared industry infrastructure – is needed to keep AI innovation accessible beyond the largest players.

– Paraphrased from AI Policy Bulletin analysis of EU AI Act SME impact, 2025

The throughline across all three jurisdictions is consistent: governments increasingly recognize that SMEs cannot absorb enterprise-grade compliance costs, and are building in relief – but the relief reduces the burden, it does not remove the obligation. An SME that assumes regulation is “for big tech” is making the same category error as an SME that assumes cybersecurity is “for big companies with something to steal.”

6. The Hidden Cost of Waiting

The commercial case for closing the readiness gap is not speculative. McKinsey’s 2025 global survey found that companies under \$100 million in revenue reach mature, enterprise-scaled AI deployment at roughly 29%, compared with nearly half of companies with \$5 billion or more in revenue – and that high-performing organizations, those attributing 5% or more of EBIT to AI, are nearly three times more likely to have fundamentally redesigned their workflows around AI rather than simply adding a tool to an existing process. That gap compounds: high performers reinvest AI-driven gains into further capability, while organizations stuck in pilot mode fall further behind each cycle.

The cost of the governance and security dimension is more immediate and more quantifiable. Small businesses already experience roughly four times as many confirmed breaches as large organizations, and 88% of SMB breaches in 2025 involved ransomware, compared with 39% for large organizations – a gap that reflects, in part, weaker baseline security investment. Layering ungoverned AI use on top of that baseline, through shadow AI and unmanaged data exposure, adds cost and complexity precisely where SMEs are least equipped to absorb it.

There is also a slower-moving but equally real commercial risk: procurement exclusion. As larger customers, public-sector buyers, and insurers begin asking suppliers to demonstrate AI governance – whether via alignment with the NIST AI RMF, ISO/IEC 42001, or EU AI Act deployer obligations – SMEs without a governance story risk being quietly filtered out of tenders and partnership opportunities well before any regulator ever knocks on their door.

7. Closing the Gap: A Practical Roadmap

None of the four deficits described in this paper require enterprise-scale budgets to address. They require sequencing, ownership, and a realistic assessment of where the organization actually sits – as opposed to where its usage statistics suggest it sits. A practical closing sequence for SME leadership teams:

- Run an honest readiness audit before investing further. Separate “who has tried an AI tool” from “what workflow now depends on AI, governed by whom, on what data.” Most SMEs discover they are further along on tool trial and further behind on governance than they assumed.
- Name a single owner for AI governance – even part-time. The single biggest predictor of whether a shadow AI incident becomes a minor event or a six-figure breach is whether anyone in the organization owns the policy and has the authority to enforce it.
- Invest in training before – or alongside – new tool purchases. With roughly half of SME AI spend currently going toward tools with zero accompanying training investment, redirecting even a modest share of budget toward structured upskilling is likely the single highest-return readiness action available.
- Map regulatory exposure by use case, not by company size. An SME using AI in hiring, credit, or customer-facing decisions should assume EU, sectoral U.S., or UK obligations may already apply as a deployer, and should document human oversight and monitoring accordingly – well before any deadline forces the issue.
- Consolidate before you expand. Address tool fragmentation and data siloing before adding new AI capability on top of it; scaling ungoverned sprawl only compounds the readiness gap rather than closing it.
- Treat AI governance as a commercial asset, not just a compliance cost. A documented governance approach – however modest – increasingly differentiates SMEs in procurement, partnership, and insurance conversations, not only in regulatory ones.

8. Conclusion

The AI story most SMEs are telling themselves – “we’ve adopted AI, our people use it every day” – is true and almost beside the point. The gap that will determine competitive position over the next several years is not whether an SME has used a generative AI tool. It is whether that SME has built the skills, data foundations, governance, and regulatory awareness to convert casual use into durable advantage, without absorbing the security and compliance exposure that comes with ungoverned adoption.

That gap is currently invisible to most SME leadership teams, because the metrics they see – usage percentages, subscription counts, anecdotal time savings – measure adoption, not readiness. The organizations that will pull ahead over the next 24 months are not the ones that adopted AI first. They are the ones that noticed the difference between adoption and readiness soon enough to close it deliberately, rather than discovering it during a breach, an audit, or a lost tender.

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- Note on methodology: figures in this paper are drawn from publicly available 2025–2026 survey and regulatory research current as of August 2026. Adoption statistics vary by survey definition and should be read as directional rather than strictly comparable across sources; this variance is itself discussed in Section 3.